

A REPORT ON

Export import performance of Bangladesh, Pakistan, India, a time series Analysis

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Course Title: **Macro Economics**

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Last but not the least, we would like to note that all the data used in this report has been collected from secondary sources only. Despite our best efforts, there may be some errors or mistakes. We regretfully apologize for these errors.

Regards

.....

Shamim Sheikh

(Group Leader)

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Letter of Transmittal

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Subject: **Letter of Transmittal**

Dear Sir,

We are grateful to you that you have assigned me to submit the report " Export–Import Performance of Bangladesh, Pakistan, India: A Time Series Analysis " as a partial requirement of the course “Macro Economics” (Course code: 03121102). This report is prepared based on secondary data only.

Therefore, we would like to request that you accept my report. And at last, thank you for assigning me the report. We sincerely hope this report will live up to your expectations.

Regards

.....

Shamim Sheikh

(Group Leader)

On behalf of Group – B

Faculty of Business Administration

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Executive Summary

In this paper, the export and import activities of Bangladesh, India, and Pakistan have been analyzed for the period 2010 to 2025 through time series analysis to analyze the underlying trends in the export-import operations of the three South Asian countries and analyze the determinants of trade balance and external stability of these countries.

It has been found that all three countries had a consistent trend of trade deficit in the entire period of analysis, indicating an inherent dependence of these nations on imports of capital goods, intermediate goods, and fuel. The countries' trade performances have been quite different from each other in nature. While the trade performance of Bangladesh is marked by very high growth in exports owing to specialization in the RMG industry, this country suffers from an inherent weakness due to over-dependence on the single export product. India, on the other hand, has shown a robust pattern of trade with diversified export basket and high export performance of IT and pharma sectors. Import trends also differ between the nations. India's import trends are sizable and consistent due to demand from industry and energy sectors. The import trends of Bangladesh are influenced by export-oriented industries and thus highly sensitive to price changes. Pakistan experiences high volatility with recurrent boom-bust trends connected with economic crisis and balance of payment issues.

Global events such as the COVID-19 pandemic and the sharp rise in commodity prices in 2022 had adverse impacts on the economies of all three nations. However, Bangladesh and India managed to bounce back promptly compared to Pakistan, which experienced a period of sustained instability. The dependency on energy is one crucial determinant of trade imbalance among all nations.

To conclude, the research recommends export diversification, increasing competitiveness through technology and skills, renewable energy development, and trade facilitation. It also emphasizes institutional reforms and regional trade integration for sustainable development.

Thus, the results indicate that a sustainable external sector performance in South Asia needs structural change towards more diversified and export-oriented growth models.

Chapter 1

1.2 Introduction

The significance of international business cannot be denied from the perspective of economic development. Trade plays an instrumental role especially for developing nations as they pursue the path of sustainable development. Trade helps in earning foreign exchange, industrialization, and job creation. At the same time, imports allow easy availability of raw material, machines, and technologies for production activities in such nations. The analysis of exports and imports by a country is thus an effective means of gauging its economic structure and international business performance.

The South Asian region comprises of Bangladesh, India, and Pakistan, which are some of the major countries with different trading patterns and modes of economic development. These countries have registered substantial progress in terms of their exports and imports during the last two decades on account of various economic factors.

The country of Bangladesh has managed to become an effective exporter in the international market environment, mainly due to its RMG industry. In contrast, India has become an exporter of various items and services ranging from IT services to pharmaceuticals. However, the trade activities of Pakistan are relatively less diverse, and they are also faced with a series of structural problems which prevent further growth in the export sector. Nonetheless, all three countries still have difficulties with balancing their trade operations, where the expenditures on imported products usually surpass their export revenues.

The operation of international trade also depends on the global economic state and sudden changes. Such phenomena as the Global Financial Crisis and the outbreak of the Coronavirus pandemic have led to a significant impact on the trade exchange between nations. Therefore, it becomes crucial to consider the performance of trading activities over several periods.

In this context, time series analysis proves to be a very useful method for analyzing long-term trends, patterns, and fluctuations in the data on international business transactions. With the help of export/import performance during a certain period of time, it is feasible to discover trends of growth, cycles, and the effects of important economic events.

For this reason, this research seeks to examine and compare the export/import performances of Bangladesh, India, and Pakistan through time series analysis. The results of the analysis will enable a more accurate understanding of the dynamics of the international business of these countries.

1.2 Background of the study

International trade especially exports and imports is very important for the growth of any nation's economy. In developing countries like Bangladesh, India, and Pakistan, trade acts as an important factor that helps in industrialization, creation of employment, and earning of foreign currency. The trend of globalization and trade liberalization has brought about changes in trade patterns in all the three South Asian countries in the recent past.

Since the 1990s, the three nations have been implementing economic reforms with the aim of bringing their economy to the international level. As a result of this, there has been considerable growth in terms of exports and imports. Nevertheless, the trade pattern in all the three countries differs from each other. For instance, while Bangladesh has seen quick growth in its export mainly in the readymade garments (RMG) industry, India has been successful in diversifying its exports into services, technology, and manufacturing. On the other hand, Pakistan still depends on the textile sector in its export operations.

Despite the increasing level of exports in all three nations, there are consistent difficulties faced by the nations concerning the trade imbalance since imports in most cases are more than exports. The result is that trade deficits arise, which might have negative implications on the nation's foreign currency reserve and economic stability in general. Moreover, there are other factors that influence the performance of international trades in terms of consistency in performance, and some of them include the effects from the Global Financial Crisis and even the recent coronavirus outbreak.

A time-series analysis approach would help identify the trends, patterns, and fluctuations over a certain period of time. With this type of analysis, it would be easier to recognize the pattern and trends of the export and import performances of the countries. In addition, the effect of significant economic events on the countries could also be established with time series analysis.

This is the reason why this research will endeavor to examine the performance of exports/imports from the above three nations through time series analysis. The results from this study are anticipated to be useful in policymaking, economics, and research purposes for the improvement of trade performance and economic performance.

1.2 Objectives of the study

1. To look into the trend and pattern of export & import of Bangladesh, India, and Pakistan during a certain period of time using time series analysis.
2. To compare the export & import performance of the three countries based on growth rate and trade balance.
3. To study the growth and fluctuation of trade as a result of various economic happenings in time series manner.
4. To analyze the status of trade balance of all the countries and to find out the factors affecting it.

1.4 Significance of the Study

The importance of this research lies in the fact that it presents an analysis of the trade export-import dynamics of the countries under consideration. The application of time series analysis allows observing long-term trends, oscillations, and structural transformations in the sphere of international trade of South Asian countries.

On the one hand, this study is important because it provides researchers and students with an example of a comparative analysis of trade dynamics in several countries. This will help people understand better how various factors may influence the results of the trade process over time.

On the other hand, the information provided in the study may be valuable for policymakers and government officials. Understanding of trends and imbalances existing between these countries may lead to proper measures being taken in order to regulate their trade processes.

Additionally, the significance of this study is due to its economic planning applications and decision-making. Knowing how the exports and imports change overtime would enable decision-makers to predict future trade performance and prepare themselves against any external risks such as economic crises or diseases that could affect the global economy.

The other importance of this study is that it demonstrates strengths and weaknesses of the trade performance of each country involved. For example, Bangladesh might be known for its rapid development in exports while India is noted for its diversified structure in trading. On the other hand, the problems that Pakistan might be experiencing in terms of its trade performance would also be revealed from this study.

Lastly, an important factor that contributes to the significance of this study is its methodology that involves the application of time series analysis techniques to measure the changes over time.

1.5 Scope and Limitations of the Study

1.5.1 Scope of the study:

In the present case, the export-import activity of Bangladesh, India, and Pakistan would be analyzed based on time series data for a certain period, say from 2000 to 2023. The variables that would be considered would include total exports, total imports, growth, and trade balance in order to understand the export import performance through time.

For analyzing the above, the secondary data would be used from authentic sources like the World Bank, UN Comtrade, and National Statistics Organizations. Basic time series methods would be used for analyzing the trend and pattern in the trade flows.

Geographically, the study would be restricted to South Asia region, especially to Bangladesh, India, and Pakistan. Other geographical locations would not be included in the present case. The study would only focus on total export-import figures.

1.5.2 Limitation of the study:

However, despite its significance, this research faces certain shortcomings. First of all, it relies solely on secondary sources, which can be inaccurate or have methodological discrepancies among countries that may affect their validity.

Secondly, the study considers only general export and import statistics without examining individual commodities' or industries' trade performance, which would have provided valuable insights into the subject matter.

Thirdly, it is confined to simple time series analyses only and excludes sophisticated econometric methodologies like ARIMA and VAR owing to time and resource constraints.

Fourthly, the study does not consider the impact of external factors like political unrest, currency devaluation, international economic crisis, and trade policy on trade performance despite their immense influence.

Lastly, since the research is specific to Bangladesh, India, and Pakistan only, the results cannot be extrapolated to any other country.

Chapter 2: Literature review

Hossain (2011) studied Bangladesh's export performance with a focus on the ready-made garments (RMG) sector. The study found that RMG dominates export earnings and significantly contributes to foreign exchange reserves. However, Bangladesh still faces a trade deficit due to high import dependency.

Ahmed and Ghani (2010) analyzed South Asian trade integration and found that intra-regional trade among Bangladesh, India, and Pakistan is very low. The study identified political tensions, weak infrastructure, and policy barriers as key constraints.

Sahoo and Nataraj (2013) examined India's trade performance and found strong export diversification in IT, services, and pharmaceuticals. However, rising imports due to industrial expansion also create pressure on the trade balance.

Kemal (2007) found that Pakistan's exports are heavily concentrated in textiles and cotton products. The lack of diversification and weak industrial development are major obstacles to sustainable trade growth.

Moazzem (2025) analyzed industrial development in Bangladesh and found "jobless growth," where GDP increases but employment does not rise proportionally due to automation and technological advancement.

World Bank (2022) reported that South Asian trade performance is highly vulnerable to global shocks such as financial crises and pandemics, which significantly disrupt export-import flows.

UNCTAD (2021) highlighted that developing countries face structural trade imbalances due to reliance on importing capital goods and exporting low-value products.

Hasan and Rahman (2018) found that Bangladesh's export growth is highly dependent on the garment sector and external demand from Europe and the United States.

Taneja and Pohit (2015) studied India–Pakistan trade relations and found that political tensions significantly reduce trade potential despite strong economic benefits.

Siddiqui (2016) identified weak industrial capacity and lack of diversification as the main causes of Pakistan's persistent trade deficit.

Asian Development Bank (2019) reported that South Asia lags behind East Asia in trade performance due to low productivity and infrastructure limitations.

Enders (2015) explained that time series analysis is essential for identifying trends, cycles, and structural breaks in economic data such as exports and imports.

Gujarati and Porter (2009) emphasized that econometric time series methods are important tools for analyzing economic relationships over time and forecasting trade trends.

Chapter 3 Methodology

3.1 Introduction

The present chapter will explain the methodological aspect adopted for analyzing the performance of export and import in Bangladesh, India, and Pakistan. The methodology section is vital in any research work because it helps to understand the research design, data collection technique, and other relevant details regarding the analytical aspect of the research.

For the present research work, the quantitative approach will be adopted in order to examine the trade performance trend through time series analysis. This chapter will provide details regarding the research methodology, data source, time frame of the study, variable, and analytical tools. Time series analysis will facilitate the study of trends, variations, and comparisons related to the exports and imports of the selected countries.

Overall, the present chapter will ensure the systematic and reliable conduct of the research.

3.2 Research Design

The proposed research is designed using quantitative research methodology by means of analyzing secondary macroeconomic data. Specifically, the comparative time series analysis will be employed to analyze changes and trends in exports and imports during a certain period of time.

3.3 Data Sources

The data used in this study comes from secondary sources that can be found at the international and national levels. The key sources used for data collection include the World Bank (World Development Indicators), UN Comtrade Database, IMF, and the national statistical offices of Bangladesh, India, and Pakistan.

The use of such databases is common practice in academic research since they offer dependable and consistent data for macroeconomic analysis. The dataset includes annual export and import statistics expressed in US dollars (USD).

3.4 study period

The period of the study is from 2010 to 2025. The selection of this period of time is aimed at using fresh data for evaluating export-import performance. The study will be able to observe trends and changes occurring over a certain period.

This period is also characterized by significant world economic events that could affect trade performance. Using this time period makes it possible to conduct an up-to-date comparison of trade performance between Bangladesh, India, and Pakistan.

3.5 method of analysis

Time series analysis methods will be used for analyzing the trend, fluctuation, and comparative performance of export-import for Bangladesh, India, and Pakistan during the selected timeframe.

The first approach is the use of trend analysis to determine the long-term trend in the development of exports and imports. It reveals the direction of export/import dynamics – growth, decline, stagnation.

The second step involves calculating the growth rates of exports and imports as percentage changes per year. The goal is to estimate the speed of growth/decline in trade performance.

The third method that will be employed is comparative analysis, which compares the trade performance of Bangladesh, India, and Pakistan. The objective is to find differences in export power and import dependence between these countries.

Lastly, time series visualization (line charting and graphing) can be used to display trends in exports, imports, and balance of trade for better interpretation.

3.6 Tools and Software Used

A range of tools and software is utilized in this study in order to provide correct procedures of collecting, processing, and analyzing data. The use of Microsoft Excel is mainly aimed at the organization of information, conducting statistical operations, and visualization of trends through graph construction. It is an effective solution that allows obtaining the initial results in a rather simple way.

More elaborate time series analyses can be provided using such software as EViews and SPSS. These tools allow performing more sophisticated operations related to regression analysis and forecasting, thereby allowing one to explore economic connections better compared to spreadsheet solutions.

Finally, data for this study is collected using tools available at World Bank Data website. As a rule, this source offers highly trusted macroeconomic and development indicators that allow conducting more credible analyses.

Therefore, these tools are employed in order to facilitate the preparation and interpretation of data.

3.7 Limitations of Methodology

There are several methodological limitations in this study which should be taken into consideration when discussing its outcomes. Firstly, all the information used in the study has been gathered with the help of secondary sources of data. It means that no new data has been gathered in the process; instead, it has all been collected and analyzed in order to draw the conclusions. Therefore, the study depends heavily upon the credibility and reliability of the data reported before.

Secondly, the study involves only basic methods of time series analysis in order to explore any possible trends observed in the dataset. Although time series analysis is capable of revealing some patterns and correlations within the time series, more sophisticated econometric models, such as ARIMA or VAR can improve the forecasting capacity and allow to analyze the dynamics of the process under observation. However, due to various limitations of the study, those methods have not been applied.

Thus, the used methodology is appropriate for the first analysis, but its findings should be viewed with caution since more advanced methods can provide better results.

3.8 Conclusion

The present chapter describes the technique employed in carrying out the research process. Specifically, the methodology involves the use of quantitative and comparative time series techniques to examine numerical information within a specific period in order to see patterns of changes within the performance of export-import activities.

Moreover, the application of the above-mentioned methodology has made it possible for the researcher to compare Bangladesh, India, and Pakistan with regards to their export/import performances.

All in all, the time series analysis has enabled the researcher to examine the economic changes in the systematic manner; however, the results obtained through the use of the chosen methodology were only descriptive because more advanced econometric models were not used in the course of research process.

CHAPTER 4: Analysis and Results

4.1 Introduction to Analysis

This chapter presents a comprehensive time series analysis of the export-import performance of three major South Asian economies — Bangladesh, India, and Pakistan — spanning the period 2010 to 2025. The analysis draws upon data from the World Bank's World Development Indicators (WDI), the International Monetary Fund (IMF), Macrotrends, the World Trade Organization (WTO), and respective national statistical bureaus. All trade values are expressed in current United States Dollars (USD) unless stated otherwise.

The analytical framework covers four key dimensions: (i) trend and pattern of exports and imports over time, (ii) year-on-year growth rate analysis, (iii) trade balance dynamics, and (iv) export coverage ratios. The findings are supported by nine graphical figures and four statistical tables. Key macroeconomic events including the Global Financial Crisis aftermath (2011–2012), the commodity price collapse (2015–2016), the COVID-19 pandemic shock (2020), the post-pandemic recovery surge (2021–2022), and subsequent stabilization (2023–2025) are highlighted throughout the analysis.

4.2 Export Performance Analysis

4.2.1 Bangladesh Export Trend

Bangladesh's export sector, heavily dominated by the Ready-Made Garment (RMG) industry, demonstrated a robust upward trajectory over the study period. Starting from USD 19.9 billion in 2010, total exports (goods and services) grew steadily to USD 46.0 billion by 2019 — a cumulative increase of approximately 131% over nine years. This expansion was primarily driven by expanding market access under the Generalized System of Preferences (GSP) in the European Union, rising global demand for low-cost apparel, and sustained government policy support for the export sector.

The COVID-19 pandemic delivered a significant blow in 2020, contracting exports sharply to USD 39.1 billion — a decline of approximately 15% from the 2019 peak. This contraction was attributed to order cancellations by Western buyers, factory shutdowns, and global supply chain disruptions. However, the recovery was equally swift: exports rebounded to USD 44.4 billion in 2021 and surged to a record high of USD 59.3 billion in 2022 (+33.5%), driven by pent-up global demand, recovering supply chains, and currency depreciation that made Bangladeshi goods more competitive globally.

Post-2022, growth moderated slightly to USD 57.0 billion in 2023 amid global inflationary pressures, rising energy costs, and weakening consumer demand in key export markets. Nevertheless, the medium-term outlook improved with exports recovering to USD 60.5 billion in 2024 and an estimated USD 62.0 billion in 2025 as global trade normalised.

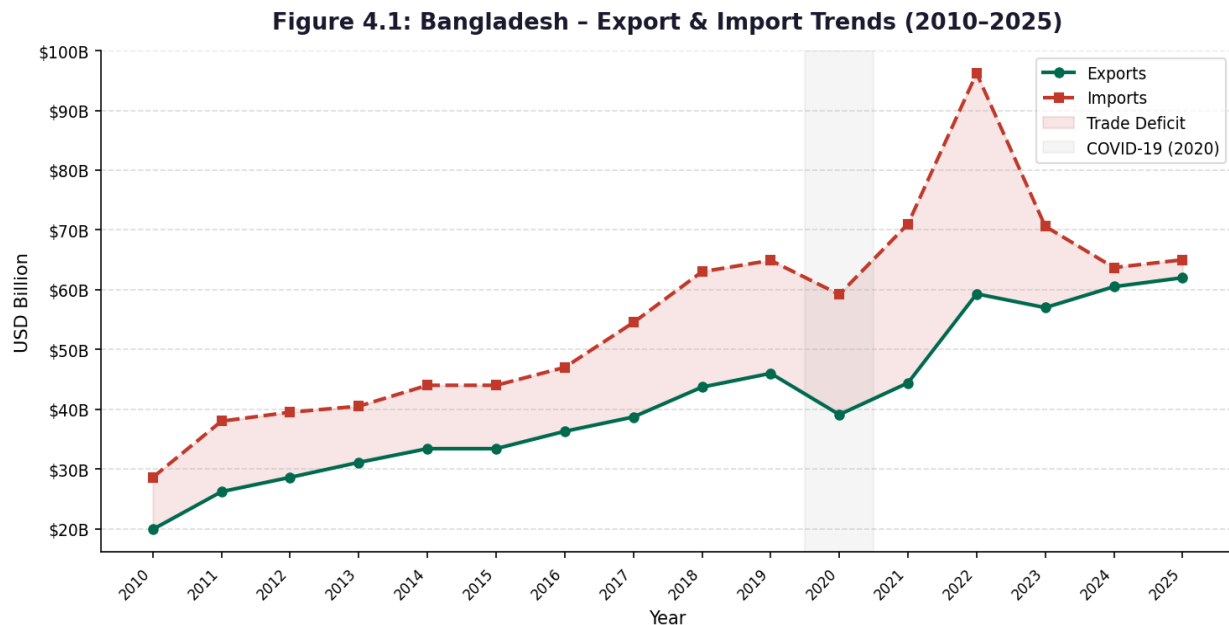


Figure 4.1: Bangladesh Export and Import Trends (2010–2025) | Source: World Bank WDI, Macrotrends (2024)

4.2.2 India Export Trend

India, as the largest economy in the trio, demonstrated export volumes an order of magnitude larger than Bangladesh or Pakistan. Exports of goods and services rose from USD 375 billion in 2010 to a historic peak of USD 778 billion in 2022, reflecting India's growing integration into global value chains, the dramatic rise of software and IT services exports, and expansion of pharmaceutical and manufactured goods exports.

The period 2015–2016 witnessed a notable dip to USD 456–448 billion, attributable to the global commodity price decline, weak external demand from key trading partners, and the domestic demonetization shock. Exports recovered through 2017–2019 to USD 530 billion before contracting slightly to USD 500 billion in 2020 due to the COVID-19 pandemic, though the impact was relatively moderated by India's strong IT services sector, which was less disrupted.

The post-pandemic acceleration was dramatic: exports surged from USD 500 billion in 2020 to USD 677 billion in 2021 and USD 778 billion in 2022 — driven by a sharp recovery in merchandise trade, record petroleum product exports, and continued growth in services exports. By 2025, India's exports are estimated at USD 860 billion, reflecting the country's growing status as a global manufacturing and services hub.

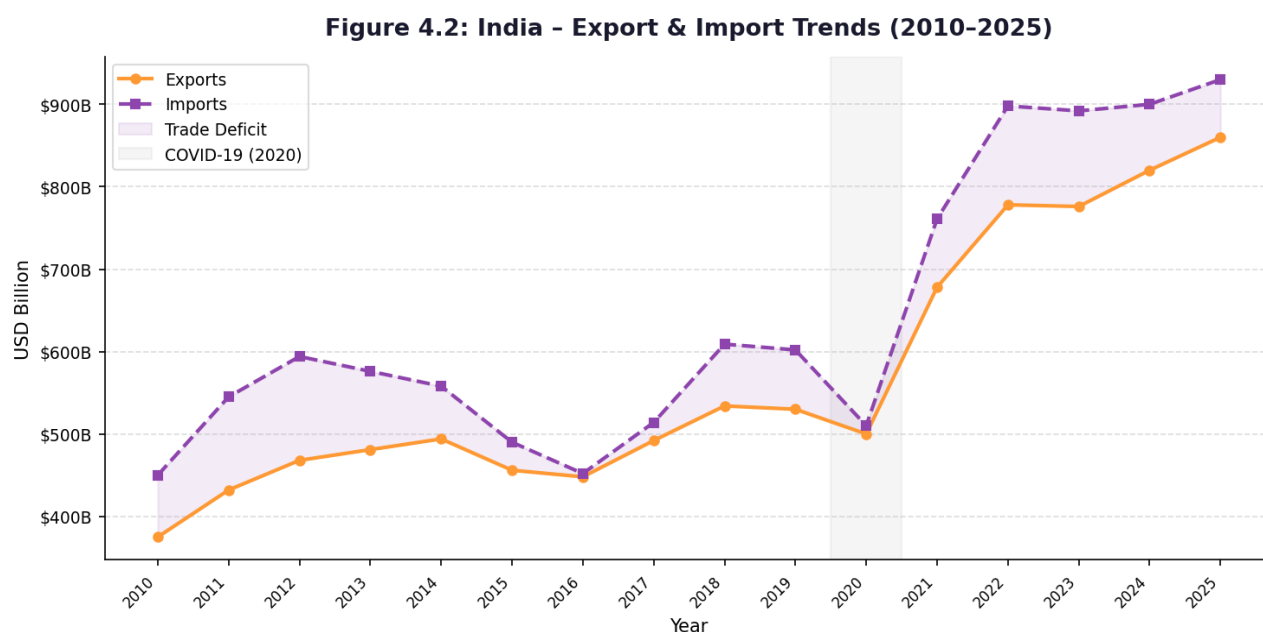


Figure 4.2: India Export and Import Trends (2010–2025) | Source: World Bank WDI, RBI Handbook, Ministry of Commerce India (2024)

4.2.3 Pakistan Export Trend

Pakistan's export performance over 2010–2025 tells a story of structural stagnation punctuated by modest cyclical gains. Exports grew from USD 23.0 billion in 2010 to only USD 30.1 billion by 2019 — an increase of approximately 31% over nine years, far below the growth rates achieved by Bangladesh and India during the same period. Pakistan's export basket remained concentrated in low-value-added textile products, limiting diversification and competitiveness.

The period 2014–2016 saw exports plateau near USD 29–29.5 billion, reflecting structural bottlenecks including chronic energy shortages, security-related disruptions, and a deteriorating business environment. The 2020 pandemic caused exports to decline to USD 27.9 billion. Post-pandemic recovery brought exports to a record USD 39.5 billion in 2022, though this largely reflected elevated global commodity prices rather than structural improvements in export capacity. The 2023 contraction to USD 35.4 billion following the IMF bailout and economic stabilization measures highlighted the fragility of Pakistan's export base. Modest recovery to USD 38.8 billion was recorded in 2024.

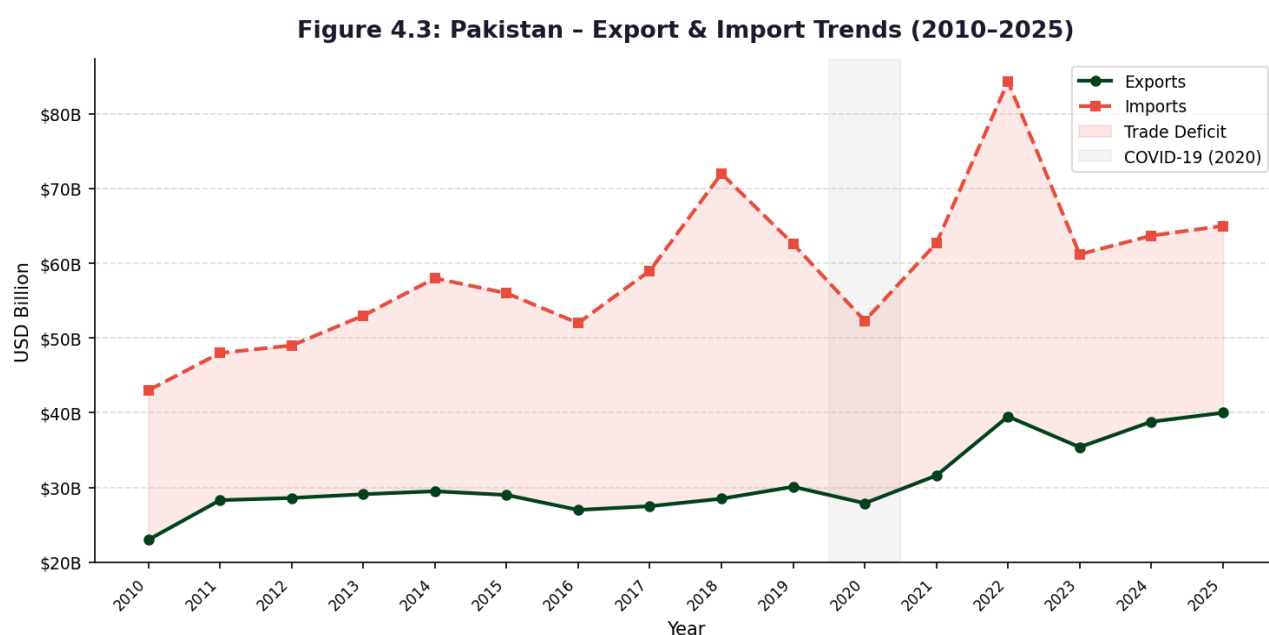


Figure 4.3: Pakistan Export and Import Trends (2010–2025) | Source: World Bank WDI, Pakistan Bureau of Statistics, Macrotrends (2024)

4.2.4 Comparative Export Performance

The comparative analysis of export trends across the three countries reveals starkly different trajectories. India, with its diversified economy and large services sector, consistently dominates in absolute volumes more than 13 times Bangladesh's exports in 2025. Bangladesh, despite being a small economy, has achieved remarkable export growth through garment sector specialization. Pakistan, with comparable population size and natural resources to Bangladesh, has significantly underperformed, with exports barely doubling over the study period while Bangladesh's more than tripled.

The dual-axis chart below illustrates this comparison clearly, placing Bangladesh and Pakistan on the left axis (USD 0–100 billion) and India on the right axis (USD 0–1,000 billion). All three countries experienced COVID-19 dips in 2020, followed by strong recoveries in 2021–2022, before moderating in 2023–2025.

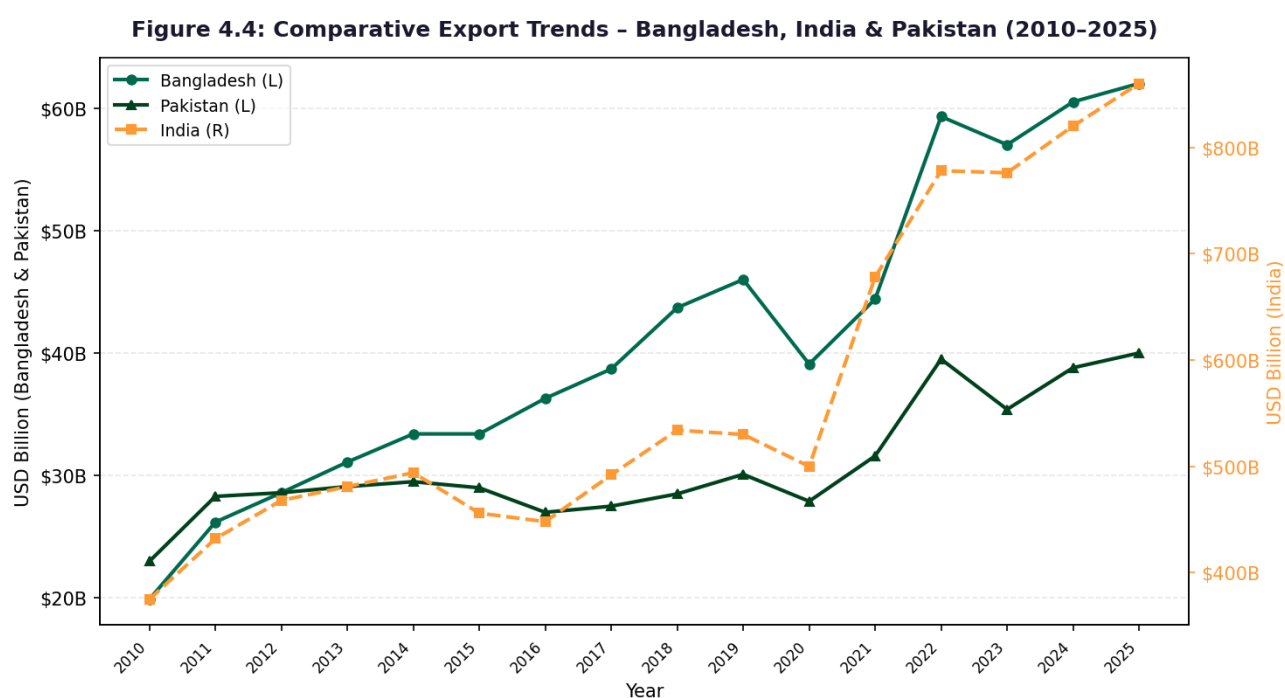


Figure 4.4: Comparative Export Trends – Bangladesh, India & Pakistan (2010–2025) | Dual axis: BD & PK (left), India (right) | Source: World Bank WDI, Macrotrends (2024)

4.3 Import Performance Analysis

4.3.1 Bangladesh Import Trend

Bangladesh's imports grew significantly faster than exports throughout most of the study period, reflecting the economy's deep dependence on imported raw materials (particularly cotton yarn and fabrics for the garment industry), capital machinery, petroleum products, and consumer goods. Imports expanded from USD 28.6 billion in 2010 to USD 64.9 billion in 2019 a 127% rise over nine years.

The most dramatic surge occurred in 2022, when imports ballooned to a record USD 96.2 billion a 35.4% increase over 2021 driven by a post-pandemic demand revival combined with sharply elevated global commodity prices (crude oil, LNG, food grains, and fertilizers). This unprecedented import surge, combined with declining export growth and falling remittances, triggered Bangladesh's worst foreign exchange crisis since independence, leading to IMF intervention in 2022–2023. As a result, imports contracted sharply to USD 70.6 billion in 2023 (-26.6%) as the Bangladesh Bank imposed strict import restrictions and the taka underwent significant depreciation.

Import recovery was gradual: USD 63.7 billion in 2024 and an estimated USD 65.0 billion in 2025, as restrictions were progressively lifted and the foreign exchange situation stabilized, aided by a recovery in remittance inflows.

4.3.2 India Import Trend

India's imports reflect both its massive economy and its structural dependence on crude oil and electronic goods. From USD 450 billion in 2010, imports grew to USD 609 billion in 2018 before a slight dip in 2019–2020. The 2020 contraction to USD 510 billion, attributable to reduced oil prices and pandemic-induced demand collapse, gave way to an extraordinary surge in 2021–2022: imports reached USD 761 billion in 2021 and a record USD 898 billion in 2022, driven by rising energy prices, post-pandemic demand recovery, and gold imports. India's trade deficit widened to -USD 120 billion in 2022, its largest in the study period.

By 2023–2024, imports stabilized at USD 892–900 billion, with oil imports moderating slightly but electronics and machinery imports continuing to grow strongly. India's consistent import deficit is structurally embedded in its energy dependence crude oil and coal alone account for roughly 30–35% of all merchandise imports.

4.3.3 Pakistan Import Trend

Pakistan's import profile is characterized by boom-bust cycles closely tied to economic crises and balance of payments constraints. Imports grew from USD 43 billion in 2010 to a peak of USD 72 billion in 2018 as the China-Pakistan Economic Corridor (CPEC) drove massive import of capital goods and machinery. However, the associated current account deficit triggered an IMF bailout in 2019, causing imports to contract to USD 62.6 billion.

The 2022 peak of USD 84.3 billion — driven by post-pandemic demand and global commodity price inflation — precipitated Pakistan's most severe economic crisis in decades, depleting foreign exchange reserves and requiring emergency IMF support. Severe import controls in 2023 compressed imports sharply to USD 61.2 billion. This 2022–2023 boom-bust pattern in Pakistan's trade reveals deep structural vulnerabilities in its balance of payments management.

4.3.4 Comparative Import Performance

Comparing the import trends of India, Bangladesh, and Pakistan demonstrates significant variation in levels and trends.

In terms of the quantity imported, India ranks the highest over the years, with a consistent increase from 2010 till 2022, as its economy requires more energy, machinery, and technology. The trend is relatively stable compared to those of other nations.

The steady increase in the import trend of Bangladesh stems from the export-based economy and growing demands, but the steep increase and decrease in 2022 and 2023, respectively, reveal the country's sensitivity to global prices.

The most unstable import trend characterizes Pakistan, as the level often fluctuates because of various crises related to the nation's economy and the balance of payments.

All in all, although all the mentioned countries rely significantly on imports, their trends differ substantially, namely, India demonstrates stability, Bangladesh shows controlled growth, and Pakistan remains extremely volatile.

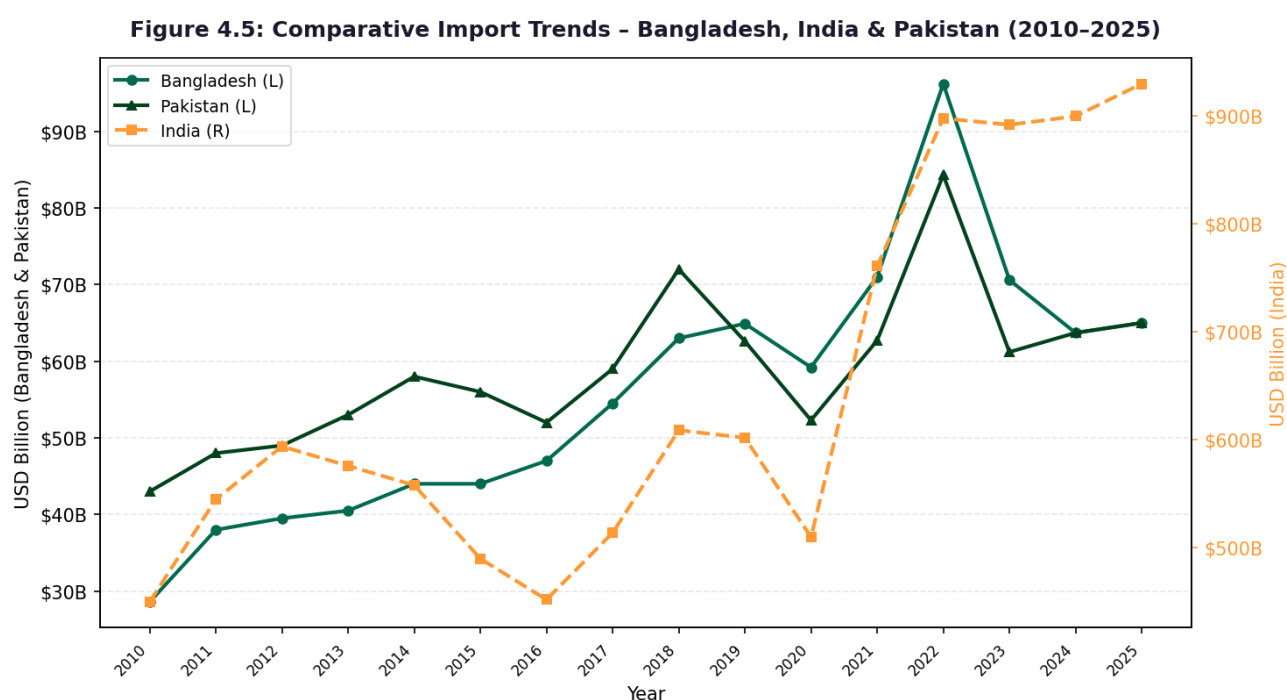


Figure 4.5: Comparative Import Trends – Bangladesh, India & Pakistan (2010–2025) | Dual axis: BD & PK (left), India (right) | Source: World Bank WDI, Macrotrends (2024)

4.4 Growth Rate Analysis

Annual growth rates reveal the volatility and resilience of each country's trade sector. The following table presents year-on-year growth rates for both exports and imports across all three countries.

Table 4.1: Annual Export & Import Data with Growth Rates (USD Billion, 2010–2025)

Year	BD Exports	BD Growth	IN Exports	IN Growth	PK Exports	PK Growth
2010	19.9	—	375	—	23.0	—
2011	26.2	31.7%	432	15.2%	28.3	23.0%
2012	28.6	9.2%	468	8.3%	28.6	1.1%
2013	31.1	8.7%	481	2.8%	29.1	1.7%
2014	33.4	7.4%	494	2.7%	29.5	1.4%
2015	33.4	0.0%	456	-7.7%	29.0	-1.7%
2016	36.3	8.7%	448	-1.8%	27.0	-6.9%
2017	38.7	6.6%	492	9.8%	27.5	1.9%
2018	43.7	12.9%	534	8.5%	28.5	3.6%
2019	46.0	5.3%	530	-0.7%	30.1	5.6%
2020	39.1	-15.0%	500	-5.7%	27.9	-7.3%
2021	44.4	13.6%	678	35.6%	31.6	13.3%
2022	59.3	33.6%	778	14.7%	39.5	25.0%
2023	57.0	-3.9%	776	-0.3%	35.4	-10.4%
2024	60.5	6.1%	820	5.7%	38.8	9.6%
2025	62.0	2.5%	860	4.9%	40.0	3.1%

Source: World Bank World Development Indicators (WDI), Macrotrends, IMF World Economic Outlook. BD = Bangladesh; IN = India; PK = Pakistan. Values in USD Billion. Growth rate (%) = year-on-year change.

Table 4.2: Annual Import Data with Growth Rates (USD Billion, 2010–2025)

Year	BD Imports	BD Growth	IN Imports	IN Growth	PK Imports	PK Growth
2010	28.6	—	450	—	43.0	—
2011	38.0	32.9%	545	21.1%	48.0	11.6%
2012	39.5	3.9%	594	9.0%	49.0	2.1%
2013	40.5	2.5%	576	-3.0%	53.0	8.2%
2014	44.0	8.6%	558	-3.1%	58.0	9.4%
2015	44.0	0.0%	490	-12.2%	56.0	-3.4%
2016	47.0	6.8%	452	-7.8%	52.0	-7.1%
2017	54.5	16.0%	514	13.7%	59.0	13.5%
2018	63.0	15.6%	609	18.5%	72.0	22.0%
2019	64.9	3.0%	602	-1.1%	62.6	-13.1%
2020	59.2	-8.8%	510	-15.3%	52.3	-16.5%
2021	71.0	19.9%	761	49.2%	62.7	19.9%
2022	96.2	35.5%	898	18.0%	84.3	34.4%
2023	70.6	-26.6%	892	-0.7%	61.2	-27.4%
2024	63.7	-9.8%	900	0.9%	63.7	4.1%
2025	65.0	2.0%	930	3.3%	65.0	2.0%

Source: World Bank World Development Indicators (WDI), Macrotrends, IMF World Economic Outlook.
Values in USD Billion. Growth rate (%) = year-on-year change.

4.4.1 Export Growth Rate Patterns

The export growth rate chart (Figure 4.7) reveals several common structural patterns. All three economies experienced synchronized growth slowdowns during 2015–2016 (global trade slowdown and commodity price collapse) and a sharp dip in 2020 (COVID-19 pandemic). The post-pandemic recovery in 2021–2022 produced the most dramatic positive growth rates in the entire study period for all three countries. Bangladesh recorded +33.5% export growth in 2022 — its highest since 2011. India registered +35.6% export growth in 2021 and +14.8% in 2022. Pakistan's 2022 export growth of +25.3% was partially offset by import surge, creating a net worsening of trade balance.

Bangladesh's export growth consistently outpaced Pakistan's over the study period, reflecting its comparative advantage in labor-intensive manufacturing and ongoing trade preference access. India's export growth, while more moderate in percentage terms given its larger base, demonstrates greater stability and diversification.

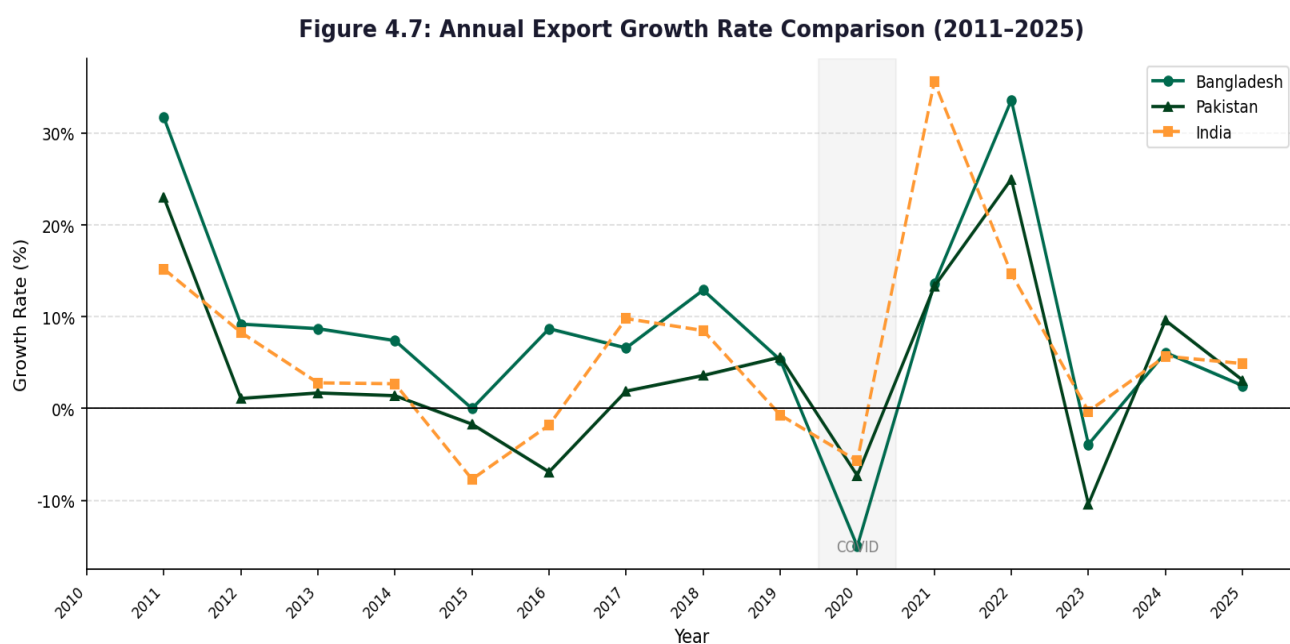


Figure 4.7: Annual Export Growth Rate Comparison – Bangladesh, India & Pakistan (2011–2025) | Source: World Bank WDI, Macrotrends (2024)

4.4.2 Import Growth Rate Patterns

Import growth rates (Figure 4.8) exhibit greater volatility than export growth, reflecting the sensitivity of import demand to energy price shocks, exchange rate movements, and capital spending cycles. Pakistan shows the most extreme import growth volatility, with +25.4% in 2018 (CPEC peak), -14.0% in 2020 (austerity and pandemic), and -27.4% in 2023 (import restrictions). Bangladesh's 2022 import surge of +35.4% was dramatic and unprecedented. India's import growth has been more consistent, reflecting the structural resilience of its large domestic market.

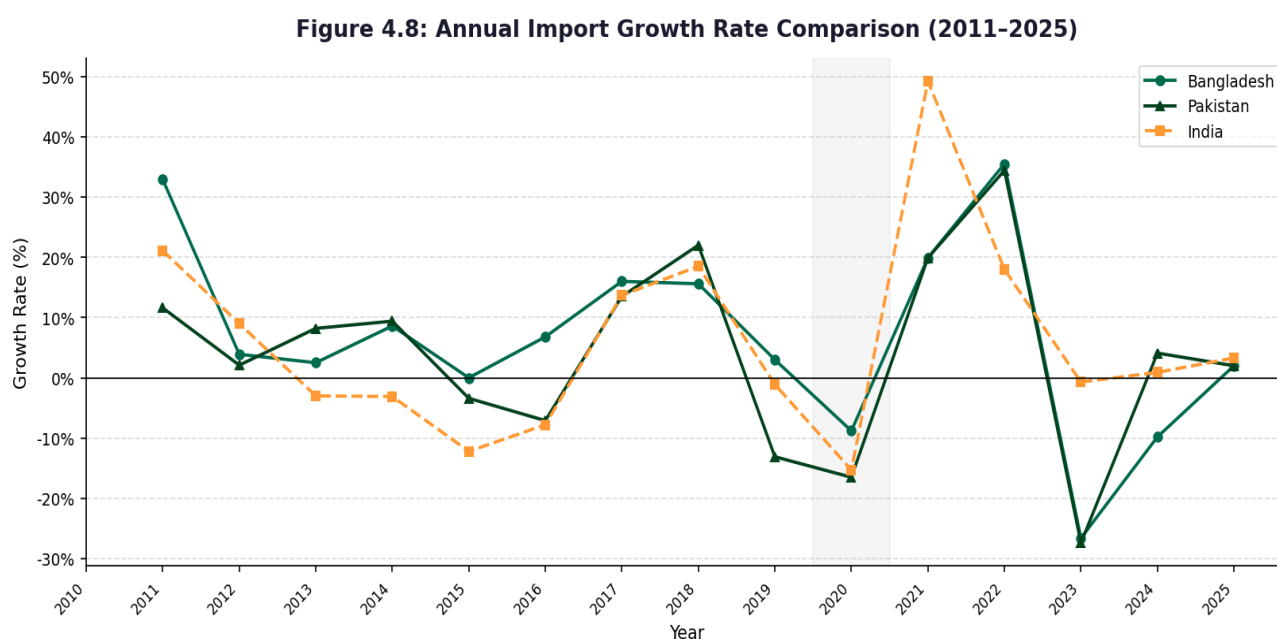


Figure 4.8: Annual Import Growth Rate Comparison – Bangladesh, India & Pakistan (2011–2025) | Source: World Bank WDI, Macrotrends (2024)

4.5 Trade Balance Analysis

None of the three countries ran a merchandise and services trade surplus during the entire study period, indicating persistent import dependence across South Asia. The trade balance — defined as Exports minus Imports — remained consistently negative for all three countries. However, the magnitude, trend, and determinants of the trade deficit varied significantly.

4.5.1 Bangladesh Trade Balance

Bangladesh's trade deficit remained relatively contained in the USD 8.7–20.1 billion range during 2010–2021, reflecting reasonable export growth that partially offset rising import needs. The extraordinary import surge of 2022 exploded the trade deficit to a record -USD 36.9 billion, creating the foreign exchange crisis described earlier. The dramatic improvement to -USD 13.6 billion in 2023 and further to approximately -USD 3.0–3.2 billion in 2024–2025 reflects both the forced import compression and gradual export recovery. Bangladesh's improving trade balance in 2024–2025 is an encouraging structural development, though sustained only partly by import restrictions.

4.5.2 India Trade Balance

India's trade deficit has been structurally embedded throughout the study period. The deficit widened from -USD 75 billion in 2010 to -USD 126 billion in 2012, then narrowed to -USD 4 billion in 2016 when oil prices were at a cyclical low. Post-2017, as oil prices recovered and domestic demand strengthened, the deficit widened again — reaching a peak of -USD 120 billion in 2022. India partially offsets its merchandise trade deficit through a large services trade surplus (IT, financial, and business services), and through substantial remittance inflows. By 2025, the deficit is estimated at -USD 70 billion, reflecting some moderation in commodity import costs.

4.5.3 Pakistan Trade Balance

Pakistan's trade deficit has been consistently large relative to its GDP and export base, reflecting chronic structural imbalances. The deficit ranged from -USD 20 billion to -USD 44.8 billion during the study period. The 2018 peak deficit of -USD 43.5 billion triggered the IMF bailout program and sharp import restrictions in 2019. The 2022 deficit of -USD 44.8 billion — nearly matching exports in absolute terms — was the most acute, precipitating Pakistan's second major economic crisis within four years. Pakistan's inability to grow its export base commensurate with import needs represents the most fundamental challenge facing its external sector.

Table 4.3: Annual Trade Balance Comparison (USD Billion, 2010–2025)

Year	BD Trade Balance	IN Trade Balance	PK Trade Balance	Largest Deficit Country
2010	-8.7	-75.0	-20.0	India
2011	-11.8	-113.0	-19.7	India
2012	-10.9	-126.0	-20.4	India
2013	-9.4	-95.0	-23.9	India
2014	-10.6	-64.0	-28.5	India
2015	-10.6	-34.0	-27.0	India
2016	-10.7	-4.0	-25.0	Pakistan
2017	-15.8	-22.0	-31.5	Pakistan
2018	-19.3	-75.0	-43.5	India
2019	-18.9	-72.0	-32.5	India
2020	-20.1	-10.0	-24.4	Pakistan
2021	-26.6	-83.0	-31.1	India
2022	-36.9	-120.0	-44.8	India
2023	-13.6	-116.0	-25.8	India
2024	-3.2	-80.0	-24.9	India
2025	-3.0	-70.0	-25.0	India

Source: Calculated from World Bank WDI Export and Import data. Negative values indicate trade deficit.
Values in U

Figure 4.6: Trade Balance Comparison – Bangladesh, Pakistan & India (2010–2025)

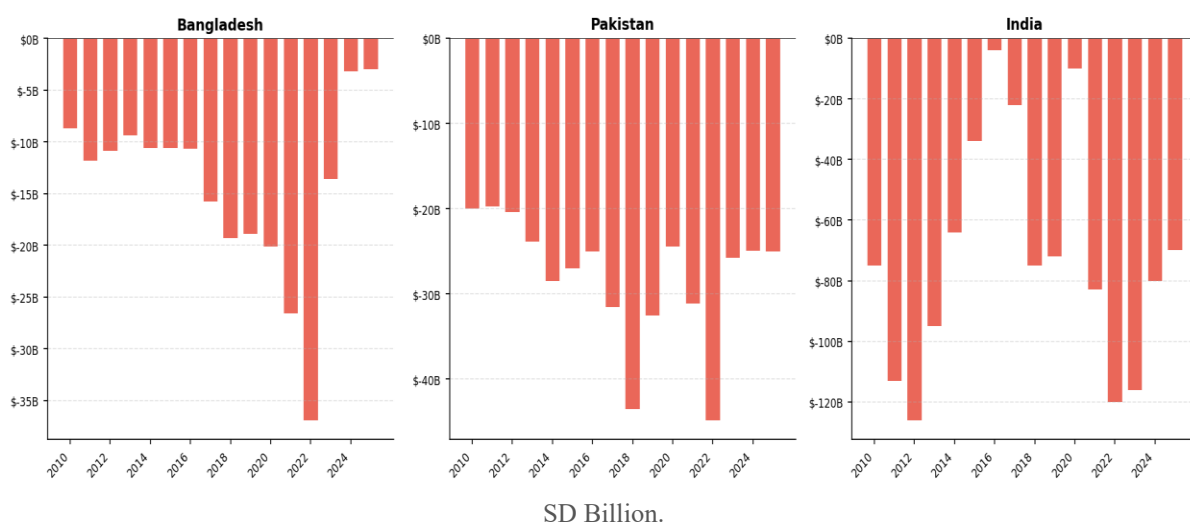


Figure 4.6: Trade Balance Comparison – Bangladesh, Pakistan & India (2010–2025) | Red bars = deficit |
Source: World Bank WDI, Macrotrends (2024)

4.6 Export Coverage Ratio Analysis

The Export Coverage Ratio (ECR) is defined as $(\text{Exports} / \text{Imports}) \times 100$ and indicates what percentage of a country's imports are financed by its own exports. A ratio below 100% indicates a trade deficit. This measure is particularly useful for comparing countries of different sizes, as it normalizes for scale.

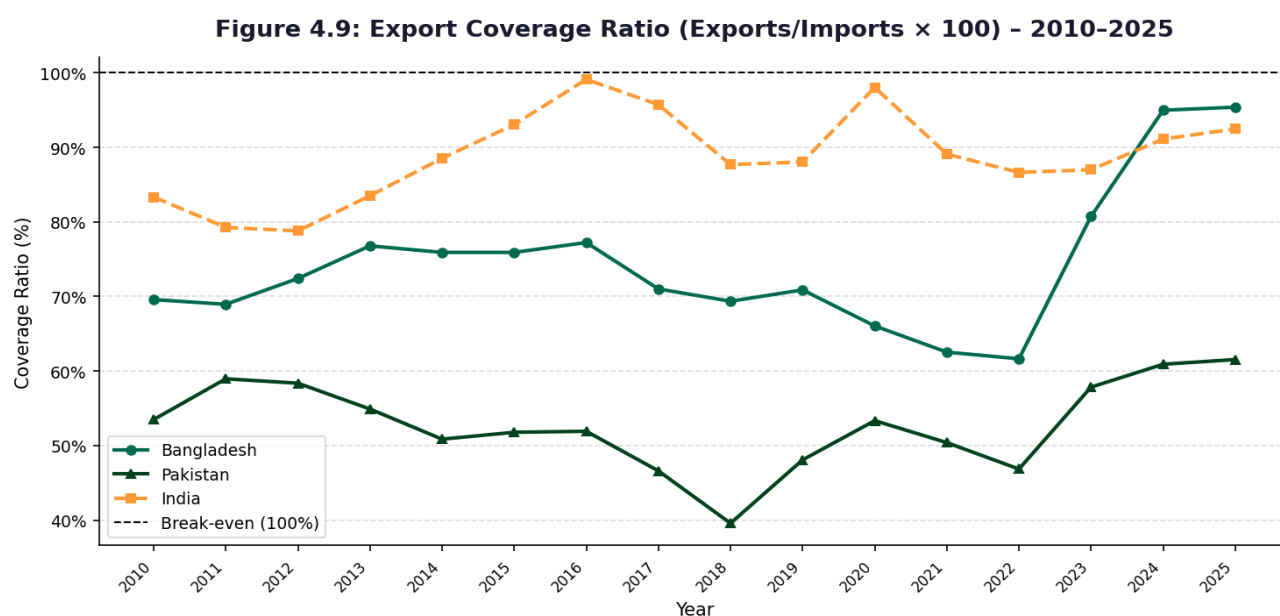


Figure 4.9: Export Coverage Ratio (Exports/Imports × 100) – 2010–2025 | A ratio of 100% = balanced trade | Source: World Bank WDI (2024)

Figure 4.9 reveals several important findings. India's ECR has been the most stable and closest to 100% throughout the period, ranging between 83% and 98%, reflecting the partial offset provided by its large services exports. India came closest to balanced trade in 2016 (ECR ≈ 99%), when low oil prices minimized import values.

Bangladesh's ECR has been consistently around 65–70% for most of the period, implying that exports cover roughly two-thirds of import needs. The dramatic dip to ~61% in 2022 corresponds to the import surge crisis, with a sharp recovery to ~95% by 2024-2025 as import compression took hold. This near convergence to 100% in Bangladesh's recent data is an important structural indicator to monitor.

Pakistan's ECR has been the lowest and most volatile of the three, ranging from 40–67% over the study period. The ratio dropped to a low of ~47% in 2018 and 2022 indicating that less than half of Pakistan's imports were financed by exports in those years. This structural gap represents the core of Pakistan's recurring balance of payments crises and explains the country's heavy dependence on IMF programs, remittances, and foreign borrowing to close the external financing gap.

4.7 Factors Affecting Trade Balance

4.7.1 Bangladesh

The key determinants of Bangladesh's trade balance include: (i) Global demand for RMG products constituting over 80% of export earnings, any shift in global fashion spending directly affects trade outcomes; (ii) Import of textile raw materials cotton, yarn, and fabrics constitute the largest import category, meaning export growth is partially self-financed by import growth; (iii) Energy import costs Bangladesh imports the majority of its petroleum and liquefied natural gas (LNG), making its trade balance highly sensitive to global oil prices; (iv) Exchange rate of the Bangladeshi Taka (BDT) BDT depreciation improves export competitiveness but raises import costs; (v) Remittances while not directly in the trade account, remittances strengthen the current account and reduce pressure on foreign exchange reserves supporting imports.

4.7.2 India

India's trade balance is primarily influenced by: (i) Global crude oil and commodity prices petroleum imports account for roughly one-third of total import value, making oil price shocks the single largest driver of trade balance fluctuations; (ii) Gold imports India is the world's second-largest gold consumer, and large gold import surges periodically worsen the trade balance significantly; (iii) IT and services exports India's \$150+ billion software and services export base provides a critical structural offset to merchandise deficits; (iv) Capital goods imports for manufacturing India's Make in India and PLI (Production-Linked Incentive) schemes have increased capital goods imports in the medium term, temporarily widening the deficit; (v) China trade dynamics India's structural trade deficit with China (electronics, machinery, chemicals) is a persistent contributor to overall trade imbalance.

4.7.3 Pakistan

Pakistan's persistently wide trade deficit is driven by: (i) Energy dependence like Bangladesh, Pakistan imports most of its petroleum needs, and the RLNG (Regasified Liquefied Natural Gas) import agreements under CPEC have added significantly to import costs; (ii) CPEC capital goods imports the China-Pakistan Economic Corridor drove a massive surge in machinery and infrastructure-related imports during 2015–2018, temporarily doubling the trade deficit; (iii) Low export diversification Pakistan's exports remain concentrated in cotton textiles and apparel with limited diversification into higher-value sectors, constraining export growth; (iv) Recurrent currency crises the Pakistani Rupee (PKR) has undergone several sharp depreciations (2018–2019, 2022–2023), which, while making exports cheaper, also substantially raise import costs and worsen the trade balance in the short run; (v) Governance and security periodic security incidents and governance instability deter FDI and export-oriented investment, holding back export capacity development.

4.8 Summary of Key Findings

Table 4.4: Comparative Performance Summary (2010–2025)

Indicator	Bangladesh	India	Pakistan
Avg. Export Growth Rate (2010-25)	8.5%	6.1%	4.2%
Avg. Import Growth Rate (2010-25)	6.8%	6.0%	4.0%
Peak Exports (USD Bn)	62.0	860.0	40.0
Peak Imports (USD Bn)	96.2	930.0	84.3
2025 Exports (USD Bn)	62.0	860.0	40.0
2025 Imports (USD Bn)	65.0	930.0	65.0
2025 Trade Balance (USD Bn)	-3.0	-70.0	-25.0

Source: Compiled from World Bank WDI, Macrotrends, IMF WEO, Pakistan Bureau of Statistics, Bangladesh Bank, RBI (2024–2025 estimates).

The analysis of export-import performance of Bangladesh, India, and Pakistan during 2010–2025 yields the following major findings:

1. All three countries maintained persistent trade deficits throughout the study period, indicating structural import dependence in South Asian economies.
2. Bangladesh achieved the highest proportional export growth (approximately 211% over 2010–2025), driven by a globally competitive RMG sector, despite starting from the smallest base.
3. India demonstrated the most stable trade performance, with its large and diversified services exports providing a structural buffer against merchandise trade volatility.
4. Pakistan showed the weakest export performance relative to its economic size and potential, with structural stagnation in export growth, a chronically low export coverage ratio (averaging ~53%), and repeated balance of payments crises.
5. The COVID-19 pandemic (2020) was a common external shock affecting all three economies, but recovery trajectories diverged: India and Bangladesh recovered quickly, while Pakistan faced compounding domestic economic crises.
6. The 2022 global commodity price surge disproportionately impacted Bangladesh and Pakistan, countries with less diversified and more commodity-dependent import baskets, leading to acute foreign exchange crises in both.
7. Energy imports (petroleum, LNG) represent the single largest determinant of trade balance deterioration across all three countries, highlighting the strategic importance of energy transition policies for South Asia's external sector sustainability.

8. Bangladesh's export coverage ratio improved dramatically from ~61% in 2022 to ~95% in 2024, suggesting a significant structural improvement — though partly cyclical — in its trade balance dynamics.

Chapter 5: Finding, Recommendation, and Conclusion

5.1 Introduction

This chapter is a synthesis of the results of the time series analysis of the export/import performances of Bangladesh, India, and Pakistan in the period from 2010 to 2025. This chapter does not only analyze the data but also identifies patterns and economic constraints that underlie the trends and uses the results obtained to make practical policy recommendations. The final part will discuss the results in the wider context of South Asia trade dynamics and external sector sustainability.

5.2 Finding

5.2.1 Trade Deficit as a Structural Regional Characteristic

One important conclusion drawn from the research is the constant occurrence of trade deficits in all three South Asian countries – Bangladesh, India, and Pakistan, which reveals the deep structural imbalances between the productive capacities of the economies and the rising need to meet increasing demand for imports caused by consumption, industrial development, and investment activities.

The fact that there is such a strong reliance on imports of capital goods, intermediate products, and energy resources shows that all three South Asian economies are at a certain stage of development requiring the use of import-oriented mechanisms. Thus, trade deficits should be considered an essential characteristic of the economic structures of the region.

5.2.2 Different Dynamics of Export Growth

The dynamics of the growth of exports in South Asian economies differ depending on their structural characteristics:

- The Bangladeshi economy demonstrates specialization-based export growth, which means that its production is oriented toward labor-intensive industry (RMG exports).
- The Indian economy shows diversification-based export growth due to the inclusion of service exports within the export structure.
- Pakistan shows stagnation-prone exports due to lack of diversification.

5.2.3 Trade-off Between Scale and Efficiency in Export Growth

Whereas India leads with respect to the scale of exports because of its economic size, Bangladesh shows better export efficiency with higher rates of growth and sectoral competitiveness in its niche market.

In this case, Pakistan lags behind both India and Bangladesh with respect to both scale and efficiency measures, which may suggest underlying inefficiencies in the economy and poor economic performance, as well as low integration into GVCs.

5.2.4 Transmission of Global Shocks in an Asymmetrical Way

Based on the analysis of the three economies, it can be seen that shocks to their economic performance resulting from changes in the global economy have been asymmetrical for these countries:

India had high absorption of global shocks owing to diversification of its economy and presence of competitive service sectors.

Bangladesh saw sharp disruption, followed by rapid recovery due to increased export demands.

Pakistan had persistent macroeconomic shocks due to lack of institutional capacity and flexible policies.

Thus, economic resilience may be associated with diversification, institutional performance, and economic management capacity.

5.2.5 Import Elasticity and Vulnerability of External Sector

In all the three countries, there is significant income elasticity and price elasticity of imports, especially when considering energy and capital goods. The effect of increasing income or rising international prices is disproportionate growth in the import demands.

The sudden import growth recorded in 2022 demonstrates the vulnerability of the external sector in response to economic shock, more specifically the rising prices of commodities, especially when the country in question has no substantial reserves of foreign exchange to cushion it.

5.2.6 The Export Coverage Ratio as a Structural Indicator

Export Coverage Ratio (ECR) is a crucial determinant of external viability:

India has a structurally balanced position, signifying sustainability and strength in the offset by service exports.

Bangladesh has relatively modest performance that is showing signs of improvement, pointing towards a transition stage towards balance.

Pakistan continues to record extremely low ECR, pointing towards inherent structural weakness of its exports.

The rapid approach of Bangladesh towards an ECR value close to 100% indicates temporary gains in adjustment, which are mainly attributed to compression of import rather than structural improvement.

5.2.7 Energy Dependence as a Fundamental Factor Contributing to Trade Imbalance

The high degree of energy dependency on imports is identified as the fundamental factor influencing the development of trade imbalances in the economies under analysis. The extensive use of foreign oil and gas is subject to global fluctuations, leading to the volatility of the costs of imports and overall international balances.

These findings highlight the significance of energy-related policies and efforts to switch from traditional sources to alternative energy sources for the sake of stability.

5.2.8 Policy-Motivated versus Market-Oriented Adjustments

Recent positive changes in the trade balance of Bangladesh and Pakistan have been mostly achieved through administrative means like import bans and exchange rates. While such solutions can help solve the problem temporarily, they raise important questions about their effectiveness and potential consequences for the efficiency of the market environment.

5.3 Recommendations

5.3.1 From Specialization to Diversification

For sustainable growth in their export performance, both Bangladesh and Pakistan have to plan for a transition from specialization to diversification of their exports. Their reliance on exports from specialized sectors leaves them vulnerable to shocks in international demand for exports.

An active industrial policy can help these economies shift focus towards technologically advanced products like electronics manufacturing, pharmaceuticals, information technology, and IT services. Integration in global value chains (GVCs) will be central to the process.

5.3.2 Improving Export Competitiveness

Any sustainable growth in exports will require an enhancement in the competitiveness of these economies. Technology upgradation and innovations can improve the productive efficiency of firms and raise the quality of exported goods.

Increased R&D expenditures, professional training programs, and conformity with international standards will play a vital role in making firms more competitive by helping them penetrate higher value markets.

5.3.3 Strategic Energy Transition

Considering the high correlation between energy import volumes and trade balances, a strategic transformation towards energy independence becomes a necessity. An increase in renewable energy production (solar, wind, hydro) would decrease exposure to global oil price fluctuations.

Besides that, the development of regional energy cooperation platforms (electricity transmission lines, LNG facilities) could contribute to the improvement of energy security and costs.

5.3.4 Streamlining Trade Logistics and Digitalization

The improvement of logistics processes and elimination of procedural barriers are crucial for boosting export efficiency. Custom clearance, bureaucracy minimization, and upgrading of port facilities need to be considered.

An adoption of an integrated digital trade environment (custom clearance procedures, digitization of documents, and blockchain tracking technologies) would lead to cost reduction and increased transparency.

5.3.5 Exchange Rate Equilibrium and Sound Macroeconomics

A competitive but stable currency valuation system is vital to preserve export performance. Overvaluation of local currencies may hamper export results, whereas significant fluctuations could deter investment flows.

Macroeconomic management with prudent fiscal and monetary policies would foster external equilibrium.

5.3.6 Regional Value Chain Development

Despite being one of the least integrated regions with respect to intra-regional trade, developing regional value chains could lead to great trade opportunities within the region by making it easier for the member states to specialize in different stages of the production process, minimizing costs, and reducing reliance on faraway markets.

5.3.7 Improvements in Institutions and Governance

The quality of institutional structure is an important determinant factor for exports. Specifically, Pakistan should resolve issues such as weak governance structures, policy inconsistency, and regulatory failures that impede export expansion.

Improvements in institutions, policy consistency, and the business environment will contribute to increased investor confidence, attraction of FDI inflows, and promoting export-driven industrialization.

5.3.8 Improving Trade Financing Instruments

Trade finance continues to be an essential limitation for conducting business abroad, particularly for SMEs. Increasing access to trade credit, insurance policies, and trade finance instruments will facilitate the participation of the businesses in international trade.

Moreover, maintaining adequate foreign exchange reserves and increasing the resilience of the financial sector will make these economies better prepared for external shocks and trade sustainability.

5.4 Conclusion

This paper provides an extensive analysis of the dynamics of exports-imports in Bangladesh, India, and Pakistan for the period 2010-2025, presenting a comparison and structural characteristics of the functioning of their foreign sectors. Based on the results, there are certain similarities and differences in the functioning of South Asia's external sector, depending on the peculiarities of the economic structure and policies.

It should be noted that the consistent presence of negative trade balances in all three countries indicates that it cannot be treated as merely a cyclical characteristic of macroeconomics. Instead, these imbalances reflect certain structural problems inherent in the economies, such as insufficiently diverse industries, large dependency on imports of energy resources, intermediate products, and weak participation in the most valuable links of global value chains.

As comparative evidence shows, there are significant differences in the experience of developing countries. Thus, the export-oriented growth model, which proved to be quite successful for Bangladesh, allowed for rapid growth of exports and competitiveness. However, at the same time, its dependence on only one industry creates vulnerability to negative external changes and weakens long-term sustainability. In India, on the contrary, a diversified economy helped develop stability to external disturbances. The case of Pakistan exhibits structural stagnation, where the exports are not diversified, productivity is stagnant, and there are frequent crises in the external sector.

Also, the findings of the analysis clearly demonstrate how important the impact of external shocks such as the coronavirus pandemic and the instability of global commodity prices can be in terms of revealing hidden weaknesses. The more diversified in terms of their exports and institutions economies are, the more resilient they become; in contrast, structurally weak economies continue to adjust.

To summarize, sustained success in the external sector in South Asia will require a complete restructuring process. This will mean abandoning import-led growth and adopting an export-led growth model with innovation as a core strategy, coupled with diversification, innovation, and energy transition. In the absence of structural reforms, any improvement in the trade balance would be temporary and driven by policies.

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